

Module 6

Financial Accounting

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer 1(a)

Workings for consolidated statement of profit or loss for the year ended 30 September 2021
(in HK\$'000)

	<u>PRL</u> HK\$	<u>SAL</u> HK\$	<u>Dr</u> HK\$	<u>Cr</u> HK\$	<u>Group</u> HK\$
Sales	(72,600)	(40,000) ⁴	280		(112,320)
Cost of goods sold	<u>52,500</u>	<u>32,500</u>		264 ⁴	<u>84,736</u>
Gross profit	(20,100)	(7,500)			(27,584)
Other income	(800)	– ³	640		(121)
		¹⁰	39		
Share of profit or loss of associates	–	–		120.6 ⁹	(120.6)
Depreciation expense	3,300	1,500 ¹	150		4,950
Administrative expenses	3,300	1,750 ⁶	170		5,220
Finance costs	<u>3,200</u>	<u>1,250</u>			<u>4,450</u>
Profit before tax	(11,100)	(3,000)			(13,205.6)
Income tax expense	<u>3,100</u>	<u>1,000</u>			<u>4,100</u>
Profit for the year	<u>(8,000)</u>	<u>(2,000)</u>			<u>(9,105.6)</u>
Profit attributable to:					
Non-controlling interests	–	– ⁸	366.8		<u>366.8</u>
Shareholders of PRL	–	–			<u>(8,738.8)</u>

Working for consolidated statement of financial position as at 30 September 2021
(in HK\$'000)

	<u>PRL</u>	<u>SAL</u>	<u>Dr</u>	<u>Cr</u>	<u>Group</u>
Asset					
Property, plant and equipment	17,700	12,900 ¹	1,500	450 ¹	31,650
Investment in Sapphire Limited	10,300	–		10,300 ²	–
Investment in Team Limited	3,200	– ⁹	120.6		3,281.6
				39 ¹⁰	
Inventory	5,400	2,200		16 ⁴	7,584
Trade receivables	3,500	2,300		1,000 ⁵	4,800
Bank	1,100	500 ⁵	322		1,922
Goodwill	–	– ²	460		290
				170 ⁶	
Total assets	<u>41,200</u>	<u>17,900</u>			<u>49,527.6</u>

Workings for consolidated statement of financial position as at 30 September 2021
(in HK\$'000)

	<u>PRL</u>	<u>SAL</u>	<u>Dr</u>	<u>Cr</u>	<u>Group</u>
<u>Equity</u>					
Share capital	(10,000)	(9,000) ²	9,000		(10,000)
Revaluation surplus	(2,000)	–			(2,000)
Retained earnings	(18,800)	(3,500) ¹	300		(19,698.8)
		²	1,800		
				800 ³	
		⁷	40		
			8,000		
			2,000		
				8,738.8	
Non-controlling interests	–	–		2,460 ²	(2,706.8)
		³	160		
				40 ⁷	
				366.8 ⁸	
Total equity	<u>(30,800)</u>	<u>(12,500)</u>			<u>(34,405.6)</u>
<u>Liabilities</u>					
Trade payables	(7,500)	(4,700) ⁵	678		(11,522)
Current tax payable	<u>(2,900)</u>	<u>(700)</u>			<u>(3,600)</u>
Total liabilities	<u>(10,400)</u>	<u>(5,400)</u>			<u>(15,122)</u>
Total equity and liabilities	<u>(41,200)</u>	<u>(17,900)</u>			<u>(49,527.6)</u>

The following journal entries are not required by the question

(1) Revaluation of SAL's property on acquisition (property has been depreciated for 3 years)

DR	Property, Plant and Equipment (net)	HK\$1,500,000	
	CR Business Combination Valuation Reserve		HK\$1,500,000
DR	Depreciation Expense	HK\$150,000	
DR	Opening Retained Earnings	HK\$300,000	
	CR Property, Plant and Equipment (net)		HK\$450,000

Depreciation adjustment = HK\$1,500,000 / 10 years = HK\$150,000 per year

(2) Elimination of investment in SAL

DR	Share Capital	HK\$9,000,000	
DR	Opening Retained Earnings	HK\$1,800,000	
DR	Business Combination Valuation Reserve	HK\$1,500,000	
DR	Goodwill	HK\$460,000	
	CR Investment in Sapphire Limited		HK\$10,300,000
	CR Non-controlling Interests		HK\$2,460,000

Non-controlling interests = HK\$(9,000,000+1,800,000+1,500,000) x 20% = HK\$2,460,000

Alternatively, for entries (1) and (2):

DR	Share Capital	HK\$9,000,000	
DR	Opening Retained Earnings	HK\$1,800,000	
DR	Goodwill	HK\$460,000	
DR	Property, Plant and Equipment (net)	HK\$1,500,000	
	CR Investment in Sapphire Limited		HK\$10,300,000
	CR Non-controlling Interests		HK\$2,460,000
DR	Depreciation Expense	HK\$150,000	
DR	Opening Retained Earnings	HK\$300,000	
	CR Property, Plant and Equipment (net)		HK\$450,000

(3) Elimination of intra-group dividend

DR	Dividend Income	HK\$640,000	
DR	Non-controlling Interests	HK\$160,000	
	CR Retained Earnings		HK\$800,000

- (4) Elimination of unrealised profit in intra-group inventory transfer (upstream)**
- | | | | |
|----|-----------------------|--|-------------|
| DR | Sales | HK\$280,000 | |
| | CR Cost of Goods Sold | | HK\$264,000 |
| | CR Inventory | $\text{HK}\$(280,000 - 280,000/1.40) \times 1/5$ | HK\$16,000 |
- (5) Elimination of intra-group inventory trade receivable/ payable**
- | | | | |
|----|----------------------|-------------|---------------|
| DR | Trade Payables | HK\$678,000 | |
| DR | Cash in Transit | HK\$322,000 | |
| | CR Trade Receivables | | HK\$1,000,000 |
- (6) Recognition of impairment loss for goodwill**
- | | | | |
|----|----------------------------|-------------|-------------|
| DR | Impairment Loss – Goodwill | HK\$170,000 | |
| | CR Goodwill | | HK\$170,000 |
- (7) NCI share of retained earnings in SAL
(from acquisition date to beginning of current year)**
- | | | | |
|----|--|------------|------------|
| DR | Opening Retained Earnings | HK\$40,000 | |
| | CR Non-controlling Interests | | HK\$40,000 |
| | $\text{HK}\$(2,300,000 - 1,800,000 - 300,000 \text{ depreciation adjustment}) \times 20\% =$ | | |
| | HK\$40,000 | | |
- Note:
Opening retained earnings of SAL as at 1 October 2020
= HK\$3,500,000 (closing retained earnings as at 30 September 2021) –
HK\$2,000,000 (profits for the year) + HK\$800,000 (dividends paid)
= HK\$2,300,000
- (8) NCI share of current year profit or loss in SAL**
- | | | | |
|----|---|-------------|-------------|
| DR | Income to Non-controlling Interests | HK\$366,800 | |
| | CR Non-controlling Interests | | HK\$366,800 |
| | $\text{HK}\$(2,000,000 - 150,000 \text{ depreciation adjustment} - 16,000 \text{ inventory adjustment}) \times 20\% = \text{HK}\$366,800$ | | |
- (9) Share of profits of TEL (associate) in the current year**
- | | | | |
|----|--|-------------|-------------|
| DR | Investment in Team Limited | HK\$120,600 | |
| | CR Share of Profits of Associate | | HK\$120,600 |
| | $\text{HK}\$(440,000 - 38,000 \text{ inventory revaluation adjustment}) \times 30\% =$ | | |
| | HK\$120,600 | | |
- (10) Share of dividends of TEL (associate) in the current year**
- | | | | |
|----|---|------------|------------|
| DR | Dividend Income | HK\$39,000 | |
| | CR Investment in Team Limited | | HK\$39,000 |
| | $\text{HK}\$130,000 \times 30\% = 39,000$ | | |

Answer 1(b)

PRL's reputation (internally generated goodwill) shall not be recognised as an asset [HKFRS 38.48].

According to HKAS 38 *Intangible Assets*, an intangible asset is defined as “an identifiable non-monetary asset without physical substance”. An intangible asset shall be recognised if, and only if:

- (a) it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity; and
- (b) the cost of the asset can be measured reliably. [HKFRS 38.21],

Although PRL's reputation (internally generated goodwill) may generate future economic benefits, it does not result in the creation of an intangible asset that meets the recognition criteria under HKAS 38.

As stated in HKFRS 38.49, internally generated goodwill is not recognised as an asset because it is not an identifiable resource (i.e., it is not separable nor does it arise from contractual or other legal rights) controlled by the entity that can be measured reliably at cost.

Answer 2

Milky Limited
Statement of Profit or Loss for the year ended 31 March 2021

	HK\$'000
Sales revenue (368,900 – 1,920 W1)	(366,980)
Cost of sales (266,600 + 24,420 W2)	291,020
Gross profit	(75,960)
Distribution cost	23,000
Administrative expenses (27,200 + 430 W3)	27,630
Other operating income	(1,300)
Finance costs (2,150 + 1,500 + 500 W4)	4,150
Profit before tax	(22,480)
Income tax expense	3,400
Profit for the year	(19,080)

Milky Limited
Statement of Financial Position as at 31 March 2021

<u>Assets</u>	HK\$'000
<i>Non-current assets</i>	
Property, plant and equipment, net (149,300 – 24,420)	124,880
<i>Current assets</i>	
Inventory	37,100
Trade receivables, net (48,500 – 430)	48,070
Total assets	210,050
<u>Equity and Liabilities</u>	
<i>Equity</i>	
Share capital	35,000
Reserves	21,800
Retained earnings (18,000 + 19,080)	37,080
Total equity	93,880
<i>Non-current liabilities</i>	
Deferred revenue	480
Loan note	40,000
Total non-current liabilities	40,480
<i>Current liabilities</i>	
Trade payables	56,400
Deferred revenue	1,440
Bank overdraft	13,950
Interest payable	500
Tax payable (W5)	3,400
Total current liabilities	75,690
Total liabilities	116,170
Total equity and liabilities	210,050

Workings

W1

According to HKFRS 15 *Revenues from Contracts with Customers*, sales revenue in relation to on-going service work must be deferred, and any discount offered in the sales bundle must be allocated to each component pro-rata to their stand-alone selling prices.

Stand-alone selling price of the equipment = HK\$22 million

Stand-alone selling price of the ongoing maintenance service = HK\$600,000 x 5 years
= HK\$3 million

Actual selling price = HK\$20 million

Discount on the stand-alone selling prices = $(25-20) / (25) = 20\%$

Sales revenue to be allocated to the equipment = HK\$22 million x 80% = HK\$17.6 million

Sales revenue to the maintenance service = HK\$3 million x 80% = HK\$2.4 million

**In the profit or loss, sales revenue is to be adjusted downwards by:
= HK\$(20 – 17.6 – 2.4 / 5) million = HK\$1.92 million**

And at 31 March 2021, there are four more years of maintenance work, thus HK\$1.92 million (HK\$2.4 million x 4 years / 5 years) must be treated as deferred revenue, where HK\$0.48 million (deferred revenue for the coming year) is recognised as a current liability and the remaining HK\$1.44 million is recognised as a non-current liability in the statement of financial position.

W2

According to HKAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors*, revision of useful life and residual value of a piece of equipment is a change in accounting estimates.

The effect of a change in accounting estimates should be recognised prospectively by including it in profit or loss in:

- (a) the period of the change, if the change affects that period only; or
- (b) the period of the change and future periods, if the change affects both.

Since the revision of estimates is made at the review of the financial statements for the year ended 31 March 2021, the effect of this change in accounting estimates should be recognised prospectively by including it in profit or loss in the year ended 31 March 2021.

Original annual depreciation charge of the equipment
= HK\$(11 million – 1 million) / 4 years = HK\$2.5 million

Depreciation charge of the equipment for 2 years up to 31 March 2020
= HK\$2.5 million x 2 = HK\$5 million

Revised annual depreciation charge of the equipment
= HK\$(11million – 2.5 million x 2 – 0.4 million) / (7 – 2) = HK\$1.12 million

**Therefore, adjusted depreciation charge for the year ended 31 March 2021
= HK\$25.8 million – HK\$2.5 million + HK\$1.12 million = HK\$24.42 million**

W3

HKAS 10 *Events after the Reporting Period* requires an entity to adjust the amounts recognised in its financial statements to reflect adjusting events after the reporting period. According to HKAS 10.9(b)(i), the bankruptcy of a customer that occurs after the reporting period usually confirms that a loss existed at the end of the reporting period on a trade receivable. Therefore, it is an adjusting event after the reporting period and MIL should adjust the carrying amount of the trade receivable due from YOL as at 31 March 2021.

The receivable has a net carrying amount of HK\$670,000 (HK\$800,000 gross less a HK\$130,000 loss allowance). Only 30% of the gross amount due from YOL is expected to be collectible, i.e., HK\$240,000.

The existing loss allowance is first used to offset against the receivable by:

DR	Loss allowance	HK\$130,000	
	CR	Trade receivable	HK\$130,000

And a further HK\$430,000 is written off and recognised as an expense in profit or loss:

DR	Profit or loss	HK\$430,000	
	CR	Trade receivable	HK\$430,000
	HK\$(800,000 – 130,000 – 800,000 x 30%) = HK\$430,000		

W4

Interest of the loan note is payable on every 30 June and 31 December. Therefore, by end of 31 March 2021, 3 months' interest has to be accrued.

DR	Interest expense	HK\$500,000	
	CR	Interest payable	HK\$500,000
	HK\$40,000,000 x 5% x 3/12 = HK\$500,000		

W5

DR	Income tax expense	HK\$3,400,000	
	CR	Tax payable	HK\$3,400,000

Answer 3

Initial cost of the plant

$$= \text{HK\$}40,000,000 + 4,600,000 - 50,000 = \text{HK\$}44,550,000$$

Depreciation for the year ended 31 December 2019

$$= \text{HK\$}44,550,000 / 49.5 \text{ years} \times 6/12 = \text{HK\$}450,000$$

Revaluation at 31 December 2019:

DR	Revaluation loss of plant – P&L	HK\$1,225,000	
	CR Plant, net		HK\$1,225,000
	HK\$(44,550,000 – 450,000 – 42,875,000) = HK\$1,225,000		

Depreciation for the year ended 31 December 2020

$$= \text{HK\$}42,875,000 / 49 \text{ years} = \text{HK\$}875,000$$

Revaluation at 31 December 2020:

DR	Plant, net	HK\$2,000,000	
	CR Reversal of revaluation loss of plant – P&L		HK\$1,225,000
	CR Revaluation surplus – OCI		HK\$775,000
	HK\$(44,000,000 – (42,875,000 – 875,000)) = HK\$2,000,000		

Answer 4(a)

The lease should be classified as a finance lease

as substantially all of the risks and rewards incidental with ownership of the crane have been transferred from the lessor (WEL) to the lessee (KOL) as indicated by the following:

- the lease is deemed non-cancellable (the lessee incurs a penalty large enough to discourage cancellation in normal circumstances);
- the lease term, at 71.4% (= 5/7), is, arguably, a major part of the crane's economic life;
and
- the present value of the minimum lease payments is substantially all of the fair value of
the asset at the lease inception, as calculated below:

End of	Cash receipt	PV factor	PV
Year 1	18000	1.0700	16,822
Year 2	18000	1.1449	15,722
Year 3	18000	1.2250	14,693
Year 4	18000	1.3108	13,732
Year 5	18000	1.4026	12,834
Year 5	17600	1.4026	12,549
	(22,000 x 80%)	MLP =	<u>86,352</u>

PV of MLP = HK\$86,352 which is equal to **98.7%** of fair value at lease inception.

Answer 4(b)

Journal entries for WEL (the lessor) for the year ended 30 June 2021:

DR	Lease receivable	HK\$89,489	
	CR Crane		HK\$87,489
	CR Cash		HK\$2,000
DR	Cash	HK\$18,000	
	CR Lease receivable		HK\$11,736
	CR Interest revenue (HK\$89,489 x 7%)		HK\$6,264

Answer 4(c)

Journal entries for KOL (the lessee) for the year ended 30 June 2021:

DR	Right-of-use asset	HK\$86,352	
	CR Lease liability		HK\$86,352
DR	Lease liability	HK\$11,955	
DR	Interest expense (HK\$86,352 x 7%)	HK\$6,045	
	CR Cash		HK\$18,000
DR	Depreciation expense	HK\$13,750	
	CR Accumulated depreciation		HK\$13,750
	HK\$(86,352 – 17,600) / 5 = HK\$13,750		

* * * END OF EXAMINATION PAPER * * *